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2027 CYCLE

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CUET UG

Accountancy

Accounting for Share & Debenture Capital

Official Syllabus Unit IV · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Accountancy 301, Unit IV)	Skills the questions test
Share Capital Fundamentals	Meaning, nature and types of shares and share capital, classification as per Schedule III Part I	Classifying Authorised, Issued, Subscribed (Fully vs Not Fully Paid), Called-up, and Paid-up capital.
Issue of Shares for Cash	Accounting treatment of issue of shares at par and at premium, Table F interest rates, minimum subscription	Recording application, allotment, and calls; applying Section 52(2) uses; calculating Table F interest.
Pro-rata Allotment	Accounting treatment of over-subscription, pro-rata allotment, and adjustment of excess application money	Handling category-wise allotments, excess application offsets, and exact default arrears.
Issue Other Than Cash	Issue of shares for consideration other than cash to vendors, promoters, and underwriters	Determining number of shares issued; computing Goodwill or Capital Reserve on business purchase.
Forfeiture & Reissue	Accounting treatment of forfeiture and reissue of shares (at par, premium, discount), transfer to Capital Reserve	Applying called-up debit rule, handling securities premium received vs unreceived, computing capital reserve.
Accounting for Debentures	Issue of debentures at par, premium, discount; terms of redemption; writing off loss; collateral security	Recording the 6 redemption cases, write-off order via Section 52(2), and collateral disclosure methods.

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EXAM PATTERN

CUET UG Exam Blueprint: Unit IV is the highest-weightage single module in CUET UG Accountancy (301), yielding 10–14 questions (50–70 marks). NTA consistently tests: (1) Default arithmetic in pro-rata allotment, (2) Securities Premium treatment when received vs unreceived upon forfeiture, (3) Capital Reserve computation on partial reissue, (4) Loss on Issue debits under the 6 redemption cases, and (5) Strict statutory restrictions under Section 52(2) and Section 53.

1. Nature of Companies & Share Capital Classification

A company is an incorporated association created by law, possessing a separate legal personality, perpetual succession, common seal (optional under Companies Act, 2013), and limited liability of its members.

Classification of Companies by Liability and Formation

Basis	Private Company (Sec. 2(68))	Public Company (Sec. 2(71))
Min / Max Members	2 / 200 members (excluding employee members).	7 / No statutory upper limit.
Transfer of Shares	Articles restrict right to transfer shares.	Freely transferable without restriction.
Public Prospectus	Prohibited from inviting public subscription.	Permitted to issue prospectus to public.
Minimum Directors	Minimum 2 directors.	Minimum 3 directors.

Share Capital Categories under Schedule III Part I

Share capital of a company limited by shares is structured into strict accounting hierarchies:

1. **Authorised (Nominal / Registered) Capital:** Maximum capital authorized by the company's Memorandum of Association (Clause V). Purely a disclosure figure in Notes to Accounts; **never included in the Balance Sheet total**.
2. **Issued Capital:** Nominal value of shares offered to the public, vendors, promoters, or underwriters.
3. **Subscribed Capital:** Portion of issued capital subscribed by the public:
   - **Subscribed and Fully Paid Up:** Full nominal face value called up and received from shareholders.
   - **Subscribed but Not Fully Paid Up:** Company hasn't called full face value OR calls-in-arrears exist.
4. **Called-up Capital:** Portion of subscribed capital that shareholders have been called upon to pay.
5. **Paid-up Capital:** Actual cash or consideration received against called-up capital:

$$\text{Paid-up Capital} = \text{Called-up Capital} - \text{Calls-in-Arrears}$$

6. **Reserve Capital (Section 99) vs Capital Reserve:**
   - **Reserve Capital:** Uncalled capital callable **strictly upon winding up**; never recorded in books or Balance Sheet.
   - **Capital Reserve:** Created from capital profits (e.g., gain on reissue of forfeited shares); shown under **Reserves & Surplus**.

2. Accounting for Issue of Shares for Cash

Shares are issued either at **Par** (Issue Price = Face Value) or at **Premium** (Issue Price > Face Value). Under Section 53 of the Companies Act, 2013, **issue of shares at a discount is strictly prohibited**, except for **Sweat Equity Shares** issued under Section 54.

Section 52(2) — Permissible Uses of Securities Premium

Securities Premium is a capital receipt credited to the **Securities Premium Account**. Section 52(2) strictly restricts its utilization to the following five specific purposes:

1. Issuing fully paid **bonus shares** to existing equity shareholders.
2. Writing off **preliminary expenses** of the company.
3. Writing off **expenses, commission paid, or discount allowed** on any issue of shares or debentures.
4. Providing for the **premium payable on redemption** of redeemable preference shares or debentures.
5. Purchase of own shares or specified securities (**Buyback under Section 68**).

CUET HIGH-FREQUENCY TRAP: SECURITIES PREMIUM RESTRICTIONS

Securities Premium can **NEVER** be used for cash dividends, general trading losses, bad debts, or asset depreciation!

Calls-in-Arrears vs Calls-in-Advance (Table F Rules)

Attribute	Calls-in-Arrears	Calls-in-Advance
Meaning	Unpaid portion of called-up capital due from shareholders.	Amount received prior to making the formal call.
Table F Max Interest	**10% per annum** (directors may waive).	**12% per annum** (mandatory contractual charge).
Balance Sheet Position	Deducted from Subscribed Capital in Note 1.	Shown under **Other Current Liabilities**.
Dividend / Voting	No dividend on unpaid portion; voting retained.	No dividend; **zero voting rights** on advance.
Winding Up Priority	Not applicable.	Repaid **before share capital**, after outside debts.

Section 39: Minimum Subscription Rule

Under SEBI regulations and Section 39 of the Companies Act, 2013, a public issue must receive a minimum subscription of **90% of the issued capital** within 30 days of issuing the prospectus. If minimum subscription is not achieved, the entire application money received must be refunded within **15 days** of closure of the issue, failing which interest @ **15% p.a.** is payable.

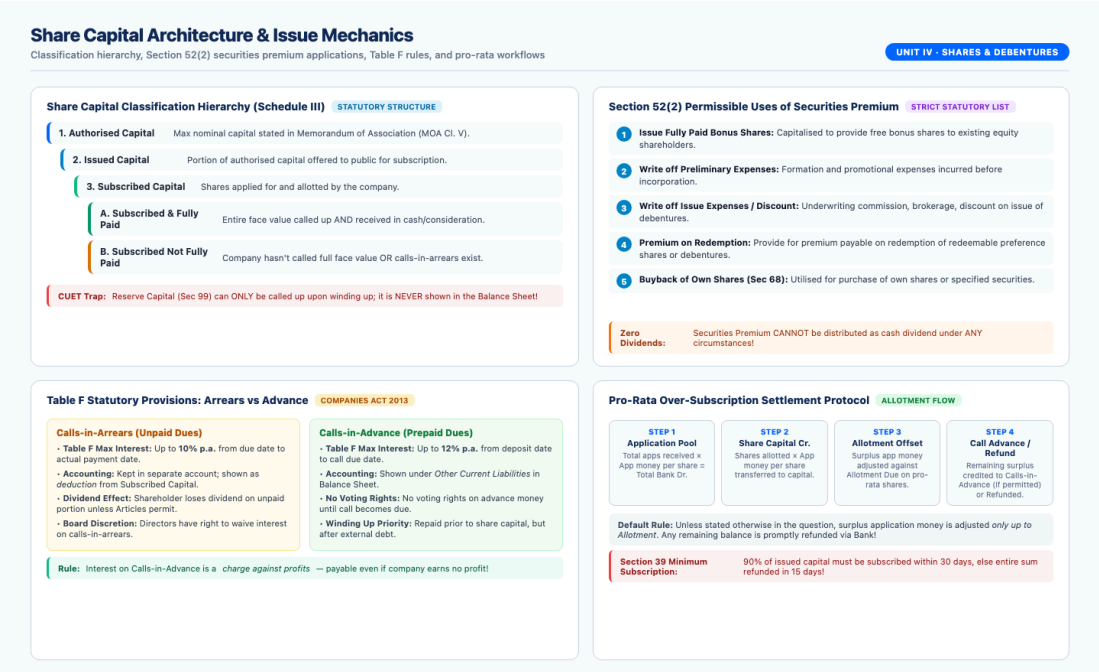


Figure 1: Share Capital Architecture: Hierarchy, Section 52(2) applications, Table F provisions, and pro-rata workflow.

3. Over-subscription & Pro-rata Allotment Mechanics

When the number of shares applied for exceeds the number of shares offered to the public, the issue is **over-subscribed**. Directors resolve over-subscription through:

1. **Full Allotment:** Certain applicants receive 100% of the shares applied for.
2. **Total Rejection:** Applications are rejected outright; application money is refunded via Bank A/c.
3. **Pro-rata Allotment:** Shares are allotted proportionately across applicant groups:

$$\text{Pro-rata Ratio} = \frac{\text{Number of Shares Allotted}}{\text{Number of Shares Applied For}}$$

Surplus Application Money Treatment Protocol

The surplus application money arising on pro-rata allotment is processed in strict sequence:

1. **Step 1 (Offset against Allotment):**

$$\text{Surplus Application Money} = (\text{Shares Applied} - \text{Shares Allotted}) \times \text{Application Money per Share}$$

   This surplus is credited to **Share Allotment Account** to reduce the net cash required on allotment.
2. **Step 2 (Adjustment towards Calls or Refund):** If surplus exceeds allotment due, the remaining balance can be transferred to **Calls-in-Advance Account** ONLY IF permitted by Articles and stated in the prospectus; otherwise, it **MUST be refunded immediately via Bank A/c**!

4. Pro-rata Default & Forfeiture Arithmetic

When a shareholder holding pro-rata shares fails to pay allotment or calls, computing the exact arrears requires a mandatory three-step derivation.

ALGORITHMIC CALCULATION OF ARREARS ON PRO-RATA ALLOTMENT

Fact Pattern: Alpha Ltd invited applications for 50,000 equity shares of ₹10 each at a premium of ₹2 per share, payable: Application ₹3, Allotment ₹5 (including ₹2 premium), First & Final Call ₹4. Applications were received for 75,000 shares. Allotment was made on a pro-rata basis to all applicants. Rohan, who applied for 1,500 shares, failed to pay the allotment money. His shares were forfeited immediately after allotment.

Step 1: Compute Shares Allotted to Rohan

$$\text{Shares Allotted} = \text{Shares Applied} \times \left(\frac{\text{Total Shares Allotted}}{\text{Total Shares Applied}}\right) = 1,500 \times \left(50,\frac{000}{75},000\right) = 1,000 \text{ shares}$$

Step 2: Compute Excess Application Money Received from Rohan

$$\text{Application Money Received} = 1,500 \times ₹3 = ₹4{,}500$$

$$\text{Application Money Required on Allotted Shares} = 1,000 \times ₹3 = ₹3{,}000$$

$$\text{Excess Application Money Available} = ₹4{,}500 - ₹3{,}000 = ₹1{,}500$$

Step 3: Compute Net Arrears on Allotment

$$\text{Total Allotment Due from Rohan} = 1,000 \times ₹5 = ₹5{,}000$$

$$\text{Less: Excess Application Money Adjusted} = ₹1{,}500$$

$$\text{Net Allotment Arrears} = ₹5{,}000 - ₹1{,}500 = \mathbf{₹3{,}500}$$

Allocation of Excess between Capital and Premium: Under standard accounting practice, excess application money is adjusted **first towards Share Capital** and then towards Securities Premium. Here, Capital due on allotment is ₹3,000 ($1,000 \times ₹3$). The excess of ₹1,500 is absorbed fully into Capital. Therefore, the entire Securities Premium of **₹2,000 remains unpaid**!

CRITICAL CUET TAKEAWAY FOR ROHAN'S FORFEITURE ENTRY

Because the Securities Premium of ₹2,000 was **unpaid**, the forfeiture entry MUST debit Securities Premium Account with ₹2,000!

- `Share Capital A/c Dr.` (1,000 × ₹6 called-up) = ₹6,000
- `Securities Premium A/c Dr.` (1,000 × ₹2 unpaid) = ₹2,000
- `To Calls-in-Arrears A/c` (Net Arrears) = ₹3,500
- `To Share Forfeiture A/c` (Actual amount paid towards capital) = ₹4,500

5. Issue of Shares for Consideration Other Than Cash

Companies frequently purchase assets or running businesses from vendors and settle the purchase price by issuing fully paid equity or preference shares.

Purchase of Assets vs Acquisition of a Running Business

1. **When Only Assets are Purchased:**

```
Sundry Assets A/c                    Dr.  [Agreed purchase price]
    To Vendor A/c                          [Purchase Consideration]
```

2. **When a Running Business (Assets & Liabilities) is Acquired:**

$$\text{Net Assets} = \text{Agreed Value of Sundry Assets Taken Over} - \text{Agreed Value of Sundry Liabilities Taken Over}$$

- **Case A (Goodwill):** If Purchase Consideration > Net Assets, the balancing debit is **Goodwill Account** (payment for excess earning capacity).
- **Case B (Capital Reserve):** If Purchase Consideration < Net Assets, the balancing credit is **Capital Reserve Account** (capital gain on acquisition).

Determination of Number of Shares to be Issued

The number of shares issued to vendors is computed as:

$$\text{Number of Shares Issued} = \frac{\text{Purchase Consideration}}{\text{Issue Price per Share}}$$

- If issued **At Par**: Issue Price = Face Value.
- If issued **At Premium**: Issue Price = Face Value + Securities Premium.

VENDOR SETTLEMENT WITH GOODWILL AND PREMIUM ISSUE

Zenith Ltd purchased assets of ₹9,00,000 and assumed liabilities of ₹2,00,000 from Apex Traders for a purchase consideration of ₹8,00,000. Payment was made by issuing equity shares of ₹100 each at a premium of 25%.

1. **Business Acquisition:**

$$\text{Net Assets} = ₹9{,}00{,}000 - ₹2{,}00{,}000 = ₹7{,}00{,}000$$

$$\text{Goodwill} = \text{Purchase Consideration} - \text{Net Assets} = ₹8{,}00{,}000 - ₹7{,}00{,}000 = \mathbf{₹1{,}00{,}000}$$

2. **Shares Issued:**

$$\text{Issue Price} = ₹100 + (25\% \times ₹100) = ₹125$$

$$\text{Number of Shares} = \frac{₹8{,}00{,}000}{₹125} = \mathbf{6{,}400\ shares}$$

3. **Journal Entries:**
   - `Sundry Assets A/c Dr. ₹9,00,000` | `Goodwill A/c Dr. ₹1,00,000` to `Sundry Liabilities A/c ₹2,00,000` & `Apex Traders ₹8,00,000`.
   - `Apex Traders Dr. ₹8,00,000` to `Equity Share Capital A/c (6,400 × ₹100) ₹6,400,000` & `Securities Premium A/c (6,400 × ₹25) ₹1,60,000`.

6. Forfeiture of Shares: Principles & Journal Entries

Forfeiture is the compulsory termination of membership and cancellation of shares due to non-payment of calls after due notice (minimum 14 days under Table F).

Accounting Rules for Forfeiture

1. **Debit Share Capital Account:** Share Capital is ALWAYS debited with the **Called-up Value** (No. of Shares × Called-up per share). It is **NEVER debited with Face Value** unless the full face value has been called!
2. **Treatment of Securities Premium:**
   - **Case 1: Premium Has Been Received:** If the defaulting shareholder paid the call containing premium (e.g., allotment was paid, but first call defaulted), **Securities Premium Account is NEVER debited or reversed** (Section 52(2) legal shield). Furthermore, the premium received is **NOT transferred to Share Forfeiture Account**!
   - **Case 2: Premium Has NOT Been Received:** If the shareholder defaulted on the call containing premium, **Securities Premium Account MUST be debited** with the uncollected premium to cancel the credit recorded at the time of call due.
3. **Credit Calls-in-Arrears Account:** Credited with the total unpaid dues (or individual call accounts if no arrears account was maintained).
4. **Credit Share Forfeiture Account:** Credited with the amount **actually paid** by the shareholder **strictly towards nominal face value**.

Master Comparative Forfeiture Entries

Component	When Premium Has Been Received	When Premium Has NOT Been Received
Debit 1	`Share Capital A/c` (Called Face Value)	`Share Capital A/c` (Called Face Value)
Debit 2	**NO ENTRY** for Securities Premium	`Securities Premium A/c` (Unpaid Premium)
Credit 1	`To Calls-in-Arrears A/c` (Unpaid calls)	`To Calls-in-Arrears A/c` (Unpaid dues incl. prem)
Credit 2	`To Share Forfeiture A/c` (Paid Face Value)	`To Share Forfeiture A/c` (Paid Face Value)

CUET HIGH-FREQUENCY TRAP: FORFEITED SHARES IN THE BALANCE SHEET

Prior to reissue, the balance standing in the **Share Forfeiture Account** is added to **Subscribed Capital** under **Subscribed but Not Fully Paid Up** in Note 1 to Accounts. It is **NEVER shown under Reserves and Surplus**!

7. Reissue of Forfeited Shares & Capital Reserve Computation

Forfeited shares become the property of the company and may be reissued by the Board of Directors at par, at a premium, or at a discount.

Statutory Limits on Reissue Pricing

- **Maximum Permissible Discount:** The discount on reissue **cannot exceed the amount previously forfeited** (i.e., amount actually paid-up on those shares).
- **Minimum Reissue Price:**

$$\text{Minimum Reissue Price per Share} = \text{Face Value (or Paid-up Value)} - \text{Forfeited Amount per Share}$$

- **Reissue at Premium:** If shares are reissued at a price exceeding the paid-up value, the excess is credited to **Securities Premium Account**.

Computation of Capital Reserve

Capital Reserve represents the net capital profit realized upon reissue of forfeited shares:

$$\text{Capital Reserve} = \left[\left(\frac{\text{Total Amount Forfeited}}{\text{Total Shares Forfeited}}\right) \times \text{Number of Shares Reissued}\right] - \text{Discount Allowed on Reissue}$$

PARTIAL REISSUE ARITHMETIC

Problem: Beta Ltd forfeited 800 equity shares of ₹10 each, ₹8 called up, issued to Karan for non-payment of first call of ₹2 per share. He had paid application and allotment money of ₹6 per share. Subsequently, the company reissued 500 of these forfeited shares to Varun as ₹8 paid up for ₹6 per share.

Step 1: Forfeiture Entry

- `Share Capital A/c Dr.` $(800 \times ₹8) = ₹6{,}400$
- `To Calls-in-Arrears A/c` $(800 \times ₹2) = ₹1{,}600$
- `To Share Forfeiture A/c` $(800 \times ₹6) = ₹4{,}800$

Step 2: Reissue Entry (500 shares @ ₹6 as ₹8 paid up)

- `Bank A/c Dr.` $(500 \times ₹6) = ₹3{,}000$
- `Share Forfeiture A/c Dr. (Discount)` $(500 \times ₹2) = ₹1{,}000$
- `To Share Capital A/c` $(500 \times ₹8) = ₹4{,}000$

Step 3: Transfer to Capital Reserve

$$\text{Forfeited Amount attributable to 500 reissued shares} = 500 \times ₹6 = ₹3{,}000$$

$$\text{Less: Discount allowed on reissue} = ₹1{,}000$$

$$\text{Transfer to Capital Reserve} = ₹3{,}000 - ₹1{,}000 = \mathbf{₹2{,}000}$$

Step 4: Unreissued Forfeiture Balance Remaining 300 shares have $300 \times ₹6 = \mathbf{₹1{,}800}$ in Share Forfeiture A/c, shown in Note 1.

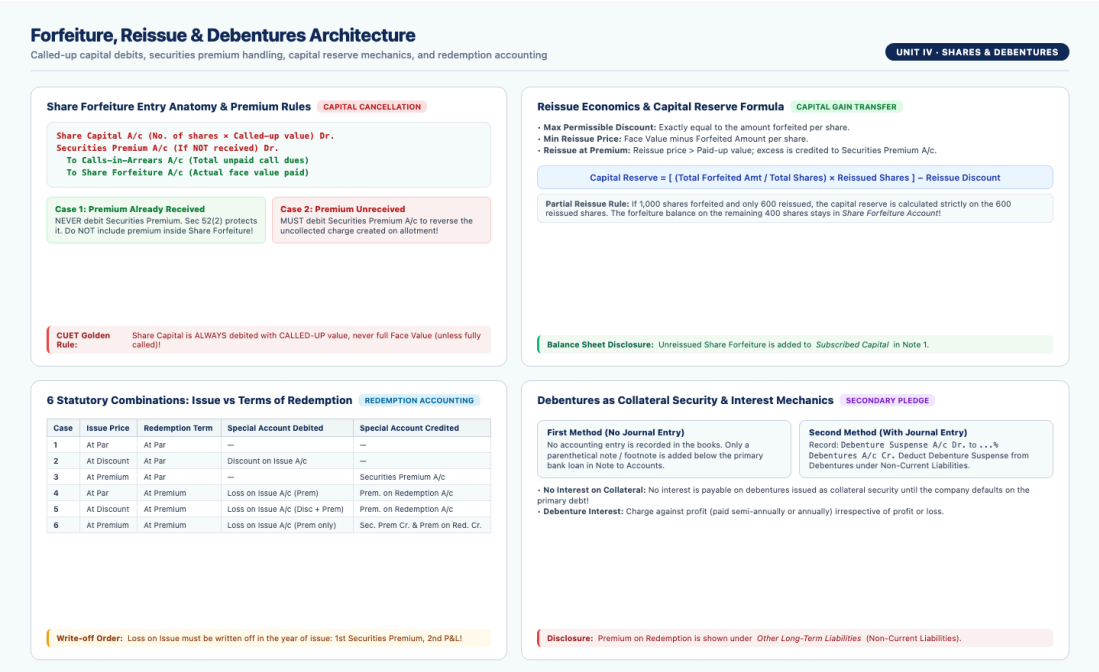


Figure 2: Forfeiture, Reissue & Debentures Architecture: Reissue formulas, 6 redemption cases, and collateral security.

8. Accounting for Debentures: Fundamentals

A debenture is a written instrument issued by a company acknowledging a debt, under its common seal (if any), containing a contract for repayment of principal and payment of interest at a specified rate (% Debentures).

Shares vs Debentures: Key Distinctions

Basis	Shares	Debentures
Nature	Owned capital (ownership stake).	Borrowed loan capital (creditor status).
Return	Dividend; variable; appropriation of profit.	Interest; fixed rate; **charge against profit**.
Voting Rights	Full voting rights in general meetings.	**Zero voting rights** under any circumstance.
Discount on Issue	Issue at discount prohibited (Sec 53).	**Permitted to be issued at discount** without ban.
Security	Never secured by charge on assets.	Usually secured by fixed or floating charge.
Winding Up	Repaid last after all creditors are settled.	Repaid prior to preference and equity capital.

9. Issue of Debentures Considering Terms of Redemption

Under the principle of prudence/conservatism, any premium payable on the redemption of debentures is a known future liability and must be recognized at the time of issue itself.

The Six Standard Redemption Combinations

Case	Issue Price	Redemption Term	Special Accounting Treatment at Issue
1	At Par	At Par	Standard entry: `Bank A/c Dr.` to `...% Debentures A/c`.
2	At Discount	At Par	`Discount on Issue of Debentures A/c Dr.` with discount.
3	At Premium	At Par	`Securities Premium A/c Cr.` with issue premium.
4	At Par	At Premium	`Loss on Issue Dr.` & `Premium on Redemption Cr.` (equal to redemption premium).
5	At Discount	At Premium	`Loss on Issue Dr.` (Discount + Redemption Premium) & `Premium on Redemption Cr.`
6	At Premium	At Premium	`Loss on Issue Dr.` (Redemption Prem only), `Securities Premium Cr.` & `Prem on Red Cr.`

Writing Off Discount / Loss on Issue of Debentures

Under Section 52(2) and ICAI Guidance, Discount or Loss on Issue of Debentures must be completely written off in the year of issue itself from:

1. **First Priority: Securities Premium Account** (if credit balance exists).
2. **Second Priority: Statement of Profit and Loss** (finance cost).

Debentures Issued as Collateral Security

Collateral security represents subsidiary or secondary security pledged to a lender in addition to principal security:

- **Method 1 (Without Journal Entry):** No entry in books. Disclosed purely as a parenthetical note beneath the primary bank loan in Note to Accounts.
- **Method 2 (With Journal Entry):** Record:

```
Debenture Suspense A/c                Dr.   [Nominal Face Value]
    To ...% Debentures A/c                  [Nominal Face Value]
```

  In Note to Accounts, Debenture Suspense is deducted directly from Debentures, resulting in **net NIL impact**.
- **Interest Rule: Zero interest** is payable on debentures held as collateral security!

10. Comprehensive Master Worked Problems

MASTER PROBLEM 1 — PRO-RATA ALLOTMENT, DEFAULT, FORFEITURE & PARTIAL REISSUE

Problem Statement: Bharat Steel Ltd invited applications for 1,00,000 equity shares of ₹10 each at a premium of ₹2 per share, payable: Application ₹3, Allotment ₹5 (including ₹2 premium), First & Final Call ₹4. Applications were received for 1,50,000 shares. Allotment was made on a pro-rata basis to applicants of 1,20,000 shares; remaining applications were rejected and refunded. Mukesh, who applied for 1,200 shares, failed to pay allotment and call money. His shares were forfeited. Subsequently, 600 of Mukesh's forfeited shares were reissued to Suresh at ₹9 per share as fully paid up. Pass journal entries.

Analytical Workings:

1. **Pro-rata Ratio:** $1,00,\frac{000}{1},20,000 = \frac{5}{6}$.
2. **Shares Allotted to Mukesh:** $1,200 \times \left(\frac{5}{6}\right) = 1,000$ shares.
3. **Application Money Received from Mukesh:** $1,200 \times ₹3 = ₹3{,}600$.
4. **Application Money Required on Allotted Shares:** $1,000 \times ₹3 = ₹3{,}000$.
5. **Excess Application Adjusted to Allotment:** $₹3{,}600 - ₹3{,}000 = ₹600$.
6. **Allotment Due from Mukesh:** $1,000 \times ₹5 = ₹5{,}000$ (Capital ₹3,000 + Premium ₹2,000).
7. **Net Arrears on Allotment:** $₹5{,}000 - ₹600 = \mathbf{₹4{,}400}$. (Capital unpaid: $₹3{,}000 - ₹600 = ₹2{,}400$; Entire Premium unpaid: **₹2,000**).
8. **Call Arrears:** $1,000 \times ₹4 = \mathbf{₹4{,}000}$.
9. **Total Calls-in-Arrears:** $₹4{,}400 + ₹4{,}000 = \mathbf{₹8{,}400}$.

Journal Entries:

1. **Forfeiture of 1,000 Shares:**

```
Equity Share Capital A/c (1,000 × ₹10)              Dr.   ₹10,000
Securities Premium A/c (1,000 × ₹2 unpaid)          Dr.    ₹2,000
    To Calls-in-Arrears A/c                                ₹8,400
    To Share Forfeiture A/c (Actual paid on face val)      ₹3,600
```

2. **Reissue of 600 Shares @ ₹9 Fully Paid:**

```
Bank A/c (600 × ₹9)                                 Dr.    ₹5,400
Share Forfeiture A/c (Discount: 600 × ₹1)           Dr.      ₹600
    To Equity Share Capital A/c (600 × ₹10)                ₹6,000
```

3. **Transfer to Capital Reserve:**

$$\text{Forfeited amount on 600 shares} = 600 \times \left(\frac{₹3{,}600}{1},000\right) = ₹2{,}160$$

$$\text{Less: Reissue discount allowed} = ₹600$$

$$\text{Net Capital Gain} = ₹2{,}160 - ₹600 = \mathbf{₹1{,}560}$$

```
Share Forfeiture A/c                                Dr.    ₹1,560
    To Capital Reserve A/c                                 ₹1,560
```

MASTER PROBLEM 2 — DEBENTURES WITH PREMIUM REDEMPTION & LOSS WRITE-OFF

Problem Statement: Surya Ltd issued 5,000, 9% Debentures of ₹100 each at a discount of 4% on 1st April, redeemable at a premium of 5% after 5 years. The company had a balance of ₹35,000 in Securities Premium Account. Pass entries for issue and write-off.

Workings & Calculations:

- **Discount on Issue:** $5,000 \times ₹4 = ₹20,000$.
- **Premium on Redemption:** $5,000 \times ₹5 = ₹25,000$.
- **Total Loss on Issue:** $₹20,000 + ₹25,000 = \mathbf{₹45,000}$.

Journal Entries:

```
1. Bank A/c (5,000 × ₹96)                          Dr.   ₹4,80,000
   Loss on Issue of Debentures A/c                 Dr.     ₹45,000
       To 9% Debentures A/c (5,000 × ₹100)                ₹5,00,000
       To Premium on Redemption of Debentures A/c           ₹25,000

2. Securities Premium A/c                          Dr.     ₹35,000
   Statement of Profit and Loss                    Dr.     ₹10,000
       To Loss on Issue of Debentures A/c                   ₹45,000
```

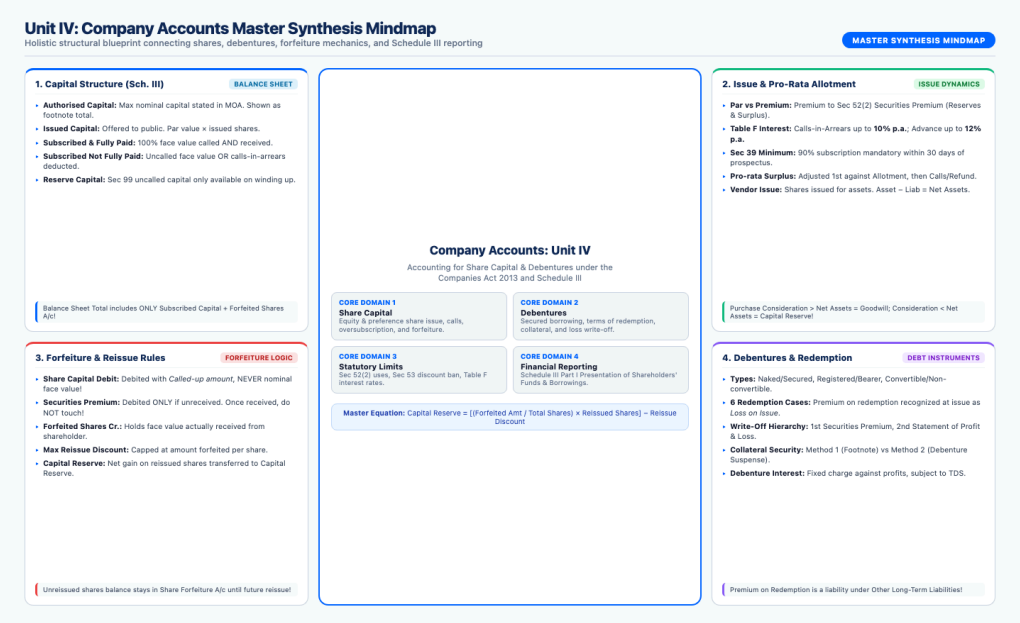


Figure 3: Master Synthesis Mindmap: Structural framework of Unit IV Company Accounts.

MASTER COMPANY ACCOUNTS REVISION CHEATSHEET

- **Section 52(2) Uses:** 1. Bonus Shares, 2. Preliminary Expenses, 3. Issue Discount/ Brokerage, 4. Redemption Premium (Pref/Deb), 5. Buyback (Sec 68). NEVER cash dividend!
- **Section 53 Ban:** Direct discount on share issue is void; only Sweat Equity (Sec 54) permitted.
- **Table F Rates:** Calls-in-Arrears max 10% p.a. | Calls-in-Advance max 12% p.a. (mandatory charge).
- **Sec 39 Minimum Subscription:** 90% within 30 days, else refund in 15 days or pay 15% p.a. interest.
- **Forfeiture Debit Rule:** `Share Capital A/c` debited with **Called-up Value**, NEVER Face Value!
- **Premium on Forfeiture:** Received -> Ignore (Sec 52(2) shield); Unreceived -> Debit `Securities Premium A/c`.
- **Max Reissue Discount:** Capped at **amount forfeited per share**. Min price = Face Value − Forfeited per share.
- **Capital Reserve Formula:** `[(Total Forfeited / Total Shares) × Reissued Shares] − Reissue Discount`.
- **Unreissued Forfeiture:** Added to **Subscribed Capital** in Note 1 to Accounts.
- **Debenture Redemption Loss:** `Loss on Issue Dr.` = Issue Discount + Redemption Premium. Written off 1st from Securities Premium, 2nd from Statement of P&L.

TOP 7 HIGH-FREQUENCY CUET TRAPS IN COMPANY ACCOUNTS

1. **Securities Premium Double Dip Trap:** Once premium is received, it is NEVER reversed on forfeiture and NEVER added to Share Forfeiture A/c!
2. **Called-up vs Face Value Trap:** Debiting Share Capital with full ₹10 face value when only ₹8 was called is the 1 mistake in CUET forfeiture entries.
3. **Pro-rata Arrears Arithmetic Trap:** Defaulting pro-rata applicants have already paid excess application money that offsets part of their allotment debt. Always calculate net arrears!
4. **Unreissued Share Forfeiture Trap:** Share Forfeiture on non-reissued shares belongs to **Subscribed Capital**, NOT Reserves and Surplus.
5. **Collateral Security Interest Trap:** Zero interest is ever paid on debentures issued as collateral security.
6. **Capital Reserve Partial Reissue Trap:** Never transfer the entire Share Forfeiture balance to Capital Reserve when only a fraction of shares are reissued!
7. **Loss on Issue Write-off Order Trap:** You cannot write off Loss on Issue directly to P&L if Securities Premium balance is available. Securities Premium MUST be exhausted first!

CUET UG Exam-Style Practice Questions

Q1. Under Section 52(2) of the Companies Act, 2013, the balance in the Securities Premium Account CANNOT be utilized for which of the following purposes?

(A) Writing off preliminary expenses
(B) Issuing fully paid bonus shares
(C) Distributing annual cash dividends
(D) Providing premium on debenture redemption

Sol. Q1. Section 52(2) strictly restricts Securities Premium to bonus shares, preliminary expenses, issue discount/commission, redemption premium, and share buyback. Cash dividend distribution is strictly illegal.

Answer: (C)

Q2. According to Table F of the Companies Act, 2013, what are the maximum statutory annual interest rates chargeable on Calls-in-Arrears and payable on Calls-in-Advance respectively?

(A) 10% p.a. and 12% p.a.
(B) 12% p.a. and 10% p.a.
(C) 6% p.a. and 5% p.a.
(D) 5% p.a. and 6% p.a.

Sol. Q2. Under Table F, the maximum interest chargeable by a company on Calls-in-Arrears is 10% per annum, and the maximum interest payable by the company on Calls-in-Advance is 12% per annum.

Answer: (A)

Q3. A company issued 40,000 shares of ₹10 each. Applications were received for 60,000 shares. Allotment was made pro-rata to all applicants. If Mohan was allotted 800 shares, how many shares did he apply for?

(A) 1,000 shares
(B) 1,200 shares
(C) 1,500 shares
(D) 960 shares

Sol. Q3. Shares Applied = Shares Allotted × (60,000 / 40,000) = 800 × 1.5 = 1,200 shares.

Answer: (B)

Q4. Under Section 39 of the Companies Act, 2013, what is the statutory minimum subscription percentage required for a public issue to proceed with allotment?

(A) 80% of issued capital
(B) 90% of issued capital
(C) 95% of issued capital
(D) 75% of issued capital

Sol. Q4. Under SEBI regulations and Section 39 of the Companies Act, 2013, minimum subscription is strictly 90% of the issued capital, received within 30 days of prospectus issue.

Answer: (B)

Q5. Alpha Ltd purchased assets worth ₹6,00,000 and assumed liabilities of ₹1,00,000 of Beta Ltd for a purchase consideration of ₹5,50,000. The balancing figure of ₹50,000 will be debited to:

(A) Capital Reserve Account
(B) Statement of Profit & Loss
(C) Goodwill Account
(D) Vendor Account

Sol. Q5. Net Assets = 6,00,000 − 1,00,000 = ₹5,00,000. Since Purchase Consideration (₹5,50,000) exceeds Net Assets (₹5,00,000), the excess payment of ₹50,000 is debited to Goodwill Account.

Answer: (C)

Q6. Star Ltd forfeited 300 shares of ₹10 each, ₹8 called up, for non-payment of first call of ₹2 per share. At what amount should Share Capital Account be debited at the time of forfeiture?

(A) ₹3,000 (B) ₹2,400
(C) ₹1,800 (D) ₹600

Sol. Q6. Share Capital Account is debited with the called-up value of forfeited shares: 300 × ₹8 = ₹2,400. Nominal face value is never debited unless fully called.

Answer: (B)

Q7. A company forfeits 100 shares of ₹10 each issued at a premium of ₹2 per share (payable with allotment) for non-payment of first call of ₹3 per share. Allotment money including premium was duly paid. Securities Premium Account will be debited with:

(A) ₹200 (B) ₹100
(C) Zero (Nil) (D) ₹300

Sol. Q7. Under Section 52(2), once Securities Premium has been received by the company, it can never be reversed or cancelled upon subsequent forfeiture. Hence, debit to Securities Premium is Nil.

Answer: (C)

Q8. What is the maximum discount that a company can legally allow on the reissue of forfeited shares?

(A) 10% of the nominal face value (B) Total amount previously forfeited on those shares
(C) Face value minus calls-in-arrears (D) Any amount decided by the Board

Sol. Q8. Under corporate law, the reissue discount cannot exceed the amount already collected and standing to the credit of Share Forfeiture Account on those specific shares.

Answer: (B)

Q9. A company forfeited 500 shares of ₹10 each on which ₹6 per share was paid. 300 of these shares were reissued as fully paid up for ₹8 per share. What amount will be transferred to Capital Reserve Account?

(A) ₹1,800 (B) ₹1,200
(C) ₹2,400 (D) ₹600

Sol. Q9. Forfeited amount on 300 shares = 300 × ₹6 = ₹1,800. Reissue discount = 300 × (₹10 − ₹8) = ₹600. Capital Reserve = 1,800 − 600 = ₹1,200.

Answer: (B)

Q10. Prior to their reissue, how is the balance standing in the Share Forfeiture Account disclosed in the company's Balance Sheet under Schedule III?

(A) Under Reserves and Surplus (B) Added to Subscribed Capital in Note 1
(C) Under Other Current Liabilities (D) Under Long-Term Borrowings

Sol. Q10. In the Notes to Accounts for Share Capital under Schedule III Part I, the balance of Share Forfeiture Account is added to Subscribed Capital (under Subscribed but Not Fully Paid Up).

Answer: (B)

Q11. A company issued 1,000, 10% Debentures of ₹100 each at a discount of 5%, redeemable at a premium of 5%. What is the total amount debited to 'Loss on Issue of Debentures Account'?

(A) ₹5,000
(B) ₹10,000
(C) ₹15,000
(D) Nil

Sol. Q11. Loss on Issue = Discount on Issue + Premium on Redemption = (1,000 × ₹5) + (1,000 × ₹5) = 5,000 + 5,000 = ₹10,000.

Answer: (B)

Q12. When debentures are issued as collateral security and the second method (with journal entry) is followed, which account is debited?

(A) Bank Account
(B) Debenture Suspense Account
(C) Securities Premium Account
(D) Statement of Profit & Loss

Sol. Q12. Under Method 2, the entry passed is: `Debenture Suspense A/c Dr.` to `...% Debentures A/c Cr.` In Note 1, Debenture Suspense is deducted from Debentures, yielding net nil impact.

Answer: (B)

Q13. Which of the following statements is INCORRECT regarding interest on debentures?

(A) It is a charge against profits
(B) It must be paid even if the company suffers a loss
(C) It is subject to deduction of tax at source (TDS)
(D) It depends on the declaration of dividend by directors

Sol. Q13. Debenture interest is a fixed statutory contractual charge against profit, totally independent of dividends, board discretion, or company profitability.

Answer: (D)

Q14. A company incurred a Loss on Issue of Debentures of ₹60,000. It has a balance of ₹40,000 in Securities Premium Account. How should this loss be written off?

(A) ₹60,000 from Statement of Profit & Loss
(B) ₹40,000 from Securities Premium and ₹20,000 from Statement of P&L
(C) ₹40,000 from General Reserve and ₹20,000 from Securities Premium
(D) Carried forward over the lifetime of debentures

Sol. Q14. Under Section 52(2), Securities Premium must be utilized first to the extent available (₹40,000). The remaining loss of ₹20,000 is written off from the Statement of Profit and Loss.

Answer: (B)

Q15. Under Section 99 of the Companies Act, 2013, 'Reserve Capital' refers to:

(A) Accumulated capital profits transferred to capital reserve
(B) Uncalled capital callable only in the event of winding up
(C) Amount received on forfeited shares prior to reissue
(D) Securities premium collected on issue of shares

Sol. Q15. Reserve Capital is that portion of subscribed uncalled capital which a company resolves by special resolution shall not be called up except in the event of winding up.

Answer: (B)